

two and four, as the labels in so many charts in Chapter 2 communicate. The guideline is also of general utility and may apply to the question of how long the coming deflation may last.

In the previous inflation-deflation cycle, the inflationary boom (as signaled by stock prices) began in 1896 (see Appendix B) and reached its peak rate of change (as measured by the PPI) in 1919. It was 25 years after its beginning, in 1921, that the stock market began rising in a disinflationary boom that lasted 8 years.

The current cycle began the same way, as the inflationary boom (as signaled by CPI-adjusted stock prices) began in 1949 and reached its peak rate of change in 1974. It was 25 years after the cycle's beginning, in 1974, that the stock market began rising. Rather than lead to 8 years of disinflation, however, 1974 was followed, after a pause, by continued high inflation. This difference has affected the shape of the disinflationary and deflationary phases, but not randomly.

The disinflationary stock market boom that began in 1921 was *persistent*. It lasted 8 years, from 1921 to 1929. The deflation that followed was *mixed*. It had three endings: one after 3 years, in 1932, one after 13 years, in 1942, and one after 20 (just shy of a Fibonacci 21) years, in 1949. This time, it is the disinflationary stock market boom that has been mixed. It had two major beginnings and one resumption, for a total of three lows: 1974 (when the stock market bottomed and the rate of PPI inflation peaked), 1982 (when the inflation-adjusted Dow bottomed and inflation died), and 1987. If the bull market ends in 1995, it will have lasted 21, 13 and 8 years from those starting points, similarly to the way the deflationary portion of the last cycle lasted 3, 13 and 20 years to its ending points. The deflation was the mixed portion of the cycle last time, so the disinflation has been the mixed portion this time, reflecting Elliott's guideline of alternation. The disinflation was the persistent portion of the cycle last time, so *the deflation should be the persistent portion this time*, as depicted in Figure 14-16. If the duration of the entire process remains comparable, the deflation will last 8 years, balancing the 8-year boom of the 1920s. Thus, it should carry into the year 2003. While that year should mark the deflationary low in prices for financial assets, economic depression could easily last a few years beyond that time, as discussed in Chapter 13.

Notice also that if the reversal occurs in 1995 as forecast, a major stock market turning point will have subdivided both inflation-deflation cycles at the .618 point if the current cycle ends in 2003. The 53-year period from 1896 to 1949 was divided by the ma-